Q.1 What is true about the relationship between standard deviation and risk?

A. No relation between them
B. Greater the standard deviation risk remains the same
C. Greater the standard deviation greater will be the risk
D. Greater the standard deviation lower will be the risk

Q.2 The amount an investor receives at maturity is called ----------.

A. Par value
B. All of the given options
C. Face value
D. Principal value

Q.3 Which of the following expression is right?

A. Nominal interest rate = periodic interest rate / number of compounding periods per year
B. Nominal interest rate = periodic interest rate X number of compounding periods per year
C. Nominal interest rate = number of compounding periods per year / periodic interest rate
D. Nominal interest rate = periodic interest rate + number of compounding periods per year

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Q.4 Original buyer in a repurchase agreement who actually sells the securities is called ----

A. Purchaser
B. Lender
C. Borrower
D. Secured

Q.5 All of the following parameter are necessary to calculate Future Value and Present Value Except?

A. Amount
B. Time period
C. Interest rate
D. Real interest rate

Q.6 Most of the people among us are _____.

A. Risk enhancers
B. Risk lovers
C. Risk averse
D. Risk takers

Q.7 What is the difference between warrant and check?

A. Warrant is not necessarily payable on demand but check is payable on demand
B. None of above
C. Check is cleared from bank but warrant is not cleared by bank
D. Check is not necessarily payable on demand but warrant is payable on demand

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Q.8 Mark borrows $8,000 and then repays $8,600 to ABC bank. What is the amount of interest in this payment?

A. $400
B. $600
C. $500
D. $100

Q.9 Which one of the following is a component of wealth that is held in a readily spendable form?

A. Income
B. Stocks
C. Bonds
D. Money

Q.10 When we add more independent source of risk (investments) in our portfolio; risk of the portfolio is ----------.

A. Amplified
B. Decreased
C. Unavoidable
D. Increased
